For many decades, formal institutions such as the WTO and the IMF have housed informal steering groups that have helped ensure that the major global governance organizations surmount standard collective action problems concerning information, commitment, coordination, and implementation issues. Such groups—or so-called clubs—are also concerned with distributional conflicts in which their stake in promoting public goods often morphs into the pursuit of private national or collective gains, with significant implications for other participants in these large institutions.

Clubs in the international governance arena share many features of the types of organizations defined by James Buchanan and other economists. By a "club," economists mean a voluntary group whose members derive mutual benefits by sharing a good or characteristic. The shared goods, or club goods, fall between private and public goods. They generate goods or outcomes, such as valued activities or social arrangements, which are excludable benefits: nonmembers may not share in these goods.[74] The composition of a club's membership may be either homogeneous or mixed,[75] although membership is usually defined in exclusive terms. Exclusivity may be determined by the group's objectives rather than the characteristics of its members.[76] Thus, clubs may be composed of a heterogeneous population, contrary to some political science arguments conceptualizing clubs as usually consisting of homogeneous members.[77] Yet clubs are usually nonrivalrous; members perceive a net benefit from membership.[78] Moreover, participants are likely to agree on the optimal club size at which payoffs peak.[79]

In the WTO, for instance, incumbent powers have found ways to use informal powers and mechanisms, such as back-room ("Green Room") agenda-setting through premier clubs like the G7, to steer institutions toward preferred outcomes that benefit their countries. Richard Steinberg argues that the established major powers routinely engage in forms of "organized hypocrisy" to establish formal rules that bind other participants, while they themselves resort to informal, behind-closed-doors bargaining using information advantages to work out a bargaining core that is then presented as a near *fait accomplis* to the institution's larger membership.[80] Consequently, incumbent countries can lock in a favorable distribution of